Chapter 11
Reporting and Interpreting Stockholders' Equity

ANSWERS TO QUESTIONS

1. A corporation is a legal entity separate and distinct from its owners. Owners are those who own shares of stock in the corporation. The primary advantages of the corporate form are: (a) transferability of ownership, (b) limited liability to the owners, and (c) the ability to raise large amounts of capital because both small and large investors can easily purchase stock.

2. The charter of a corporation, sometimes called the articles of incorporation, is a legal document submitted by a corporation to a state government. The charter specifies details such as the name of the corporation, its purpose, and the kinds and number of shares of stock the corporation can issue.

3. (a) Authorized shares: The maximum number of shares of stock that a corporation can issue as specified in the charter of the corporation.

   (b) Issued shares: The total number of shares of stock that a corporation has issued to stockholders at a particular date.

   (c) Outstanding shares: The number of shares currently owned by stockholders.

4. Common stock—the most common type of stock issued by a corporation. Common stock has voting rights and generally ranks behind preferred stock when it comes to receiving dividends and assets distributed upon dissolution of the corporation. Common stock may have a par value or be no-par value common stock.

   Preferred stock—another form of stock that typically has preferred rights over common stock. One preferred right is that any dividends that are declared are first paid to preferred shareholders before being paid to common shareholders. A disadvantage of preferred stock is that it typically does not have voting rights. Preferred stock usually has a par value, and dividends are typically defined as a percentage of par value.

5. Par value is a nominal value per share established in the corporate charter. The original purpose of establishing a par value was to protect creditors by specifying a permanent amount of capital that owners could not withdraw before declaring bankruptcy, which would leave creditors with something in the event that a company did not succeed. No-par value stock does not have an amount per share specified in the charter.

6. When stock with a par value is issued, the par value times the number of shares is credited to the stock account, and any "additional capital" raised is credited to the

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additional paid-in capital account. Thus, the balance in the additional paid-in capital account reflects capital raised in excess of a stock's par value.

7. The stockholders' equity section of the balance sheet reflects two kinds of capital:

   Contributed capital—the amount invested by stockholders. Contributed capital is represented in a company's common and preferred stock accounts and any additional paid-in capital accounts.

   Earned capital—the accumulated amount of all net income/losses since the organization of the corporation, less the accumulated amount of dividends paid by the corporation since organization. Earned capital is represented in the Retained Earnings account.

8. Treasury stock is a corporation's own stock that was sold (issued) and subsequently repurchased by the corporation. Treasury stock, while held by the issuing corporation, confers no voting, dividend, or other stockholder rights. Corporations frequently repurchase shares of their own stock for sound business reasons, such as to obtain shares needed for employee bonus plans, to influence the market price of the stock, to increase earnings per share amounts, and to have shares on hand for use in the acquisition of other companies.

9. Treasury stock is reported in the stockholders' equity section of the balance sheet as a negative amount. If a corporation resells treasury shares at a price above what it paid to originally acquire the shares, it increases additional paid-in capital by the difference. If a corporation resells treasury shares at a price below what it paid to originally acquire the shares, it decreases additional paid-in capital or retained earnings by the difference.

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10. The two basic requirements to support a cash dividend are: (1) sufficient retained earnings or net income, and sufficient cash on hand. A cash dividend reduces both assets (cash) and stockholders' equity (retained earnings) by the amount of the dividend.

11. A stock dividend involves the issuance of additional shares of stock to stockholders. It differs from a cash dividend in that it does not distribute any assets of the corporation to stockholders or change total stockholders' equity. In contrast, a cash dividend reduces total assets and total stockholders' equity by the amount of the dividend.

12. A stock split distributes additional shares of stock to stockholders by "splitting" their existing shares into some multiple of additional shares. Though a stock split and a stock dividend both distribute additional shares of stock to stockholders, they are accounted for differently. A stock dividend requires a journal entry and redistributes amounts within the stockholders' equity section of a company's balance sheet. A stock split does not require a journal entry nor does it change any amounts in the stockholders' equity section of the balance sheet. To record a stock split a corporation merely increases the number of outstanding shares and proportionately decreases the par value of each share.

13. With respect to dividends, the three important dates are:

    Declaration date—the date on which the board of directors votes to declare a dividend. The declaration of a cash dividend creates a liability.

    Date of record—the date on which a corporation records who owns its stock. Owners of a company's stock on the date of record will receive any declared dividend. No journal entry is associated with the date of record.

    Date of payment—the date on which cash is paid to owners listed on the date of record. The payment of a dividend eliminates the liability created on the declaration date and reduces cash.

14. Preferred stock differs from common stock in a number of ways. The most significant are: (1) preferred stock typically does not have voting rights, (2) preferred stock is less risky than common stock since in the event of bankruptcy, preferred stockholders have preferential rights to assets over common stockholders, and (3) preferred stock typically has a fixed dividend rate. Preferred stock may also have a dividend preference and it may be cumulative.

15. Cumulative preferred stock has a dividend preference such that, should the dividends on the preferred stock for any year or series of years not be paid, dividends cannot be paid to the common stockholders until all such dividends in arrears are paid to the preferred stockholders. Noncumulative preferred stock does not have this preference; therefore, dividends not paid in past periods do not have to be paid in the future.

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ANSWERS TO MULTIPLE CHOICE

1. c	2. d	3. b	4. a	5. c
6. b	7. c	8. c	9. d	10. a

Authors' Recommended Solution Time

(Time in minutes)

Mini-exercises		*Exercises*		*Problems*		*Alternate Problems*		*Cases and Projects*	
No.	*Time*	*No.*	*Time*	*No.*	*Time*	*No.*	*Time*	*No.*	*Time*
1	5	1	15	1	45	1	45	1	30
2	5	2	15	2	45	2	30	2	30
3	5	3	30	3	45	3	30	3	20
4	5	4	30	4	60	4	35	4	20
5	5	5	20	5	30	5	30	5	20
6	5	6	20	6	30	6	30	6	30
7	5	7	45	7	30	7	30	7	*
8	5	8	15	8	45	8	45		
9	5	9	30	9	20	9	20		
10	5	10	15	10	20	10	20		
11	5								
		11	20	11	30	11	30		
		12	20	12	45	12	45		
		13	20						
		14	30						
		15	30			Continuing			
		16	30			Problem			
		17	20			1 40			
		18	30						
		19	20			Comprehensive			
		20	15			Problem			
		21	15			Case A 25			
		22	20			Case B 20			
		23	20			Case C 20			
		24	15			Case D 20			
		25	15						

* Due to the nature of this project, it is very difficult to estimate the amount of time students will need to complete the assignment. As with any open-ended project, it is possible for students to devote a large amount of time to these assignments. While students often benefit from the extra effort, we find that some become frustrated by the perceived

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difficulty of the task. You can reduce student frustration and anxiety by making your expectations clear. For example, when our goal is to sharpen research skills, we devote class time to discussing research strategies. When we want the students to focus on a real accounting issue, we offer suggestions about possible companies or industries.

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MINI- EXERCISES

M11–1.

At the end of each accounting period, retained earnings is computed by the following formula:

Beginning balance + net income* – dividends = ending balance

*If the firm has a net loss the formula is:
Beginning balance – net loss – dividends = ending balance

M11–2.

178,000 shares issued (168,000 outstanding + 10,000 in treasury)

M11–3.

EPS = Net income* / Weighted average number of common shares outstanding

*Any preferred dividends should be subtracted from net income.

Each company reports EPS on its income statement.

M11–4.

Cash (+A) (170,000 × $21).....	3,570,000	
Common stock (+SE) (170,000 × $1).....		170,000
Additional paid-in capital (+SE) (remainder).....		3,400,000

The journal entry would be different if the par value were $2:

Cash (+A) (170,000 × $21).....	3,570,000	
Common stock (+SE) (170,000 × $2).....		340,000
Additional paid-in capital (+SE) (remainder).....		3,230,000

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M11–5.

Common stock is the basic voting stock issued by a corporation. Common stock ranks behind preferred stock for dividends and assets distributed upon liquidation. Preferred stock typically does not have voting rights. All companies issue common stock. Only some firms issue preferred stock.

M11–6.

	Total assets	**Total liabilities**	**Total stockholders' equity**	**Net income**
Repurchased 20,000 shares of comm stock	Decrease by $900,000	No change	Decrease by $900,000	No change
Resold 5,000 shares for $50 per share	Increase by $250,000	No change	Increase by $250,000	No change
Resold 10,000 shares for $37 per share	Increase by $370,000	No change	Increase by $370,000	No change

M11–7.

200,000 shares outstanding X $0.65	=	$130,000

M11–8.

April 15:

Retained earnings (-SE) (100,000 x $0.65).....	65,000	
Dividends payable (+L)		65,000

May 20: Date of record. No journal entry required.

June 14:

Dividends payable (-L)	65,000	
Cash (-A).....		65,000

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M11–9.

Dividend Yield = Dividends per share / Market price per share

The dividend yield ratio reflects the return on investment absent any capital appreciation, or said differently, the return attributed solely to the dividends a company pays.

M11–10.

Stock Dividend	**Stock Split**
No change in total assets	No change in total assets
No change in total liabilities	No change in total liabilities
Increase in common stock	No change in common stock
No change in total stockholders' equity: decrease retained earnings and increase contributed capital by the same amount.	No change in total stockholders' equity
Decrease in market value per share	Decrease in market value per share

M11–11.

EVENT	**EFFECT ON STATEMENT OF CASH FLOWS**
Issued stock	Financing cash inflow
Repurchased stock	Financing cash outflow
Declared a cash dividend	No effect (when declared)
Declared a stock split	No effect

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EXERCISES

E11–1.

Computation of end of year balance for treasury stock:

Beginning balance	7,171,269
Net increase	3,034,188
Ending balance	10,205,457 (used below)

Computation of shares outstanding at the end of the year:

Issued shares	36,915,122 (36,356,357 beginning + 558,765 new)
Less: Treasury stock	(10,205,457)
Shares Outstanding	26,709,665

E11–2.

Req. 1 The number of authorized shares is specified in the corporate charter: 300,000.

Req. 2 Issued shares are the shares sold to the public: 160,000

Req. 3

Issued shares	160,000
Less: Treasury stock	(25,000)
Outstanding shares	135,000

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E11–3.

Req. 1

Stockholders' Equity	
Common stock, authorized 103,000 shares; issued and outstanding, 20,000 shares	$200,000
Preferred stock, authorized 4,000 shares; issued and outstanding, 3,000 shares	24,000
Additional paid-in capital (common shares)	120,000
Additional paid-in capital (preferred shares)	36,000
Retained earnings	60,000
Total Stockholders' Equity	$440,000

Req. 2

There is no right answer to this question. The answer depends on how you value the various tradeoffs between common stock and preferred stock. For example, issuing additional common stock would dilute your ownership of the company, but issuing additional preferred stock would commit the company to pay a 9% dividend to preferred shareholders if dividends are declared.

E11–4.

Req. 1 ($30 x 90,000 shares issued) - $1,600,000 in common stock = $1,100,000

Req. 2 Beginning balance + net income – dividends = ending balance

Beginning balance + $1,000,000 – $800,000 = $900,000

Beginning balance = $700,000

Req. 3 90,000 shares issued – 80,000 shares outstanding = 10,000 shares in treasury

Req. 4 EPS = net income / weighted average number of common shares outstanding

$1,000,000 ÷ 80,000 = $12.50

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E11–5.

Req. 1

a. Cash (+A) (5,600 shares x $20)	112,000	
Common stock (+SE) (5,600 shares x $10)		56,000
Additional paid-in capital, common stock (+SE)		56,000
Sold common stock for $20 per share.		

b. Cash (+A) (1,000 shares x $25)	25,000	
Common stock (+SE) (1,000 shares x $10)		10,000
Additional paid-in capital, common stock (+SE)		15,000
Sold common stock for $25 per share.		

Req. 2

Stockholders' Equity

Common stock, $10 par value; 11,500 shares authorized; 6,600 shares issued & outstanding	$ 66,000
Additional paid-in capital	71,000
Retained earnings	12,000
Total stockholders' equity	$149,000

E11–6.

Req. 1

Par value of common stock: $118,530 / 118,529,925 = $0.001 or

$117,707 / 117,706,523 = $0.001

Req. 2

Number of shares outstanding last year: 117,706,523 shares issued minus 61,740,439 shares held as treasury stock = 55,966,084.

Number of shares outstanding current year: 118,529,925 shares issued minus 73,099,319 shares held as treasury stock = 45,430,606.

Req. 3

Retained earnings last year: $3,107,344,000 minus net income for the current year $463,909,000 plus dividends for the current year $10,002,000 = $2,653,437,000

Req. 4

Repurchased shares are paid for with cash. The journal entry is a debit to treasury stock and a credit to cash. As a result, the negative dollar amount in the treasury stock

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account at the end of the current year is mirrored by a reduction to cash on the asset side of the balance sheet.

Req. 5

Treasury stock transactions decreased stockholders' equity by $490,786,000 ($1,846,312,000 - $1,355,526,000).

Req. 6

At the end of the current year, treasury stock average cost per share: $1,846,312,000 ÷ 73,099,319 shares = $25.26.

E11–7.

Req. 1

a. Cash (+A) (50,000 shares x $50).....	2,500,000	
Common stock (+SE) (50,000 shares x $2 par value).....		100,000
Additional paid-in capital, common stock (+SE).....		2,400,000
Sold common stock for $50 per share.		
b. Treasury stock (+XSE, -SE) (2,000 shares x $52).....	104,000	
Cash (-A).....		104,000
Repurchased common stock for $52 per share.		

Req. 2

Stockholders' Equity

Common stock, $2 par value; 80,000 shares authorized; 50,000 shares issued, 48,000 shares outstanding.....	$ 100,000
Additional paid-in capital.....	2,400,000
Retained earnings.....	200,000
Treasury stock (2,000 shares).....	(104,000)
Total stockholders' equity	$2,596,000

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E11–8.

Stockholders' Equity:

	Current Year	Last Year
Common stock, $0.01 par value; 100,000,000 shares authorized; 34,990,170 shares issued and outstanding at end of current year; 34,333,858 shares issued and outstanding at end of last year	$ 349,902	$ 343,339
Additional paid-in capital	169,107,000	155,455,000
Accumulated deficit	(59,487,000)	(68,804,000)
Total stockholders' equity	$ 109,969,902	$ 86,994,339

E11–9.

Stockholders' Equity

Common stock, $10 par value; 98,000 shares authorized; 78,000 shares issued, 74,000 shares outstanding	$ 780,000
Preferred stock, 8%, $50 par value; 59,000 shares authorized; 20,000 shares issued and outstanding	1,000,000
Additional paid-in capital, common stock	780,000
Additional paid-in capital, preferred stock	600,000
Retained earnings*	160,000
Treasury stock (4,000 shares)**	(80,000)
Total stockholders' equity	$3,240,000

*$210,000 – $50,000 = $160,000

**$20 x 4,000 shares

E11–10.

Net income: $942,000 - $800,000 - $80,000 - $15,000 = $47,000

EPS = $47,000 / 132,000 shares = $0.36

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E11–11.

Req. 1

a. Cash (+A) (20,000 shares x $20).....	400,000	
Common stock, no-par (+SE).....		400,000
Sold common stock for $20 per share.		
b. Cash (+A) (6,000 shares x $40).....	240,000	
Common stock, no-par (+SE).....		240,000
Sold no-par value common stock for $40 per share.		
c. Cash (+A) (7,000 shares x $30).....	210,000	
Preferred stock (+SE) (7,000 shares x $10).....		70,000
Additional paid-in capital, preferred stock (+SE)		140,000
Sold preferred stock for $30 per share.		

Req. 2

Yes, it is ethical as long as there is full disclosure of relevant information. It is common for founders to be given stock or pay a lower price for stock than outsiders when a company is organized.

E11–12.

Req. 1

The number of shares that have been issued is computed by dividing the common stock account ($4,009 million) by the par value of the shares ($1 per share) or approximately 4,009,000,000 shares.

Req. 2

Retained earnings end of last year	$80,197,000,000
Net income for current year	11,643,000,000
Dividends for current year.....	(6,850,000,000)
Retained earnings end of current year.	$84,990,000,000

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E11–13.

Req. 1

Total assets decreased by the amount of cash paid to repurchase the shares [$329,000,000 ($47 x 7 million shares)]. Total stockholders' equity decreased by the same amount ($329,000,000). Total liabilities were not affected.

Req. 2

Treasury stock (+XSE, -SE) (7 million shares x $47)	329,000,000	
Cash (-A)		329,000,000

Repurchased common stock for $47 per share.

Req. 3

The cash used to repurchase the common shares will be reported as a financing cash outflow on the statement of cash flows.

E11–14.

Req. 1

Stockholders' Equity	
Common stock, $20 par value, 100,000 shares authorized, 34,000 shares issued, 32,000 shares outstanding	$680,000
Additional paid-in capital	163,000
Retained earnings	89,000
Treasury stock (2,000 shares)	(25,000)
Total stockholders' equity	$907,000

Req. 2

The dividend yield ratio is 2.24% ([$16,000 ÷ 32,000 shares] ÷ $22.29). This is the return to investors based solely on dividends. Investors receive a return from both dividends and stock price appreciation.

Treasury stock does not receive dividends. As a result, dividends are only paid on the 32,000 shares outstanding.

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E11–15.

Req. 1

(a.) Apr. 1:

Treasury stock (+XSE, -SE) (200 shares x $20).....	4,000	
Cash (-A).....		4,000

Repurchased common stock for $20 per share.

(b.) June 14:

Cash (+A) (40 shares x $25).....	1,000	
Treasury stock (-XSE, +SE) (40 shares x $20)		800
Additional paid-in capital (+SE)		200

Sold treasury stock for $25 per share.

(c.) Sept. 1:

Cash (+A) (30 shares x $15).....	450	
Additional paid-in capital (-SE).....	150	
Treasury stock (-XSE, +SE) (30 shares x $20)		600

Sold treasury stock for $15 per share.

Req. 2

Treasury stock transactions do not affect the income statement. A firm may reissue treasury shares for more or less than the original purchase price, but for accounting purposes the difference is not a gain or loss.

E11–16.

Req. 1

(a) Feb. 1:

Treasury stock (+XSE, -SE) (160 shares x $20).....	3,200	
Cash (-A).....		3,200

Repurchased common stock for $20 per share.

(b) July 15:

Cash (+A) (80 shares x $21)	1,680	
Treasury stock (-XSE, +SE) (80 shares x $20).....		1,600
Additional paid-in capital (+SE).....		80

Sold treasury stock for $21 per share.

(c) Sept. 1:

Cash (+A) (50 shares x $19)	950	
Additional paid-in capital (-SE)	50	
Treasury stock (-XSE, +SE) (50 shares x $20).....		1,000

Sold treasury stock for $19 per share.

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E11-16. (continued)

Req. 2

Dividends are not paid on treasury stock. Dividends are computed on shares outstanding. Therefore, if the dividends declared per share stay the same, the amount of total cash dividends paid is reduced when a company repurchases outstanding shares.

Req. 3

The sale of treasury stock for more or less than its original purchase price does not have an impact on net income. The transaction affects only balance sheet accounts. The cash received from the sale of treasury stock is a financing cash inflow on the statement of cash flows.

E11–17.

Req. 1

Case 1: When the company pays the dividend, it will be recorded on the statement of cash flows as a financing activity cash outflow.

Case 2: Operating activities on the statement of cash flows will increase by 50 percent.

Case 3: Stock dividends do not affect cash flows so there is no effect on the statement of cash flows.

Req. 2

Case 1: Since there is no effect on net income or the weighted average number of common shares outstanding, EPS is not affected.

Case 2: Since net income increased and the weighted average number of common shares outstanding did not change, EPS will increase.

Case 3: Net income did not change, but the weighted average number of common shares outstanding increased, so EPS will decrease.

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E11–18.

Req. 1	Preferred stock (5,000 Shares)	Common Stock (50,000 Shares)	Total
a) Noncumulative:			
Preferred stock ($50,000 x 10%)	$ 5,000		$ 5,000
Available to common stock ($85,000 – $5,000)		$80,000	80,000
	$ 5,000	$80,000	$ 85,000
Per share	$1.00	$1.60	
b) Cumulative:			
Preferred stock, arrears ($50,000 x 10% x 2 years)	$ 10,000		$ 10,000
Preferred stock, current year ($50,000 x 10%)	5,000		5,000
Available to common stock ($85,000 – $10,000 – $5,000)		$70,000	70,000
	$ 15,000	$70,000	$ 85,000
Per share	$3.00	$1.40	

Req. 2

Since the total dividend ($85,000) does not change under the two assumptions, the statement of cash flows is not affected differently. Under both assumptions, the company would report an $85,000 financing activities cash outflow.

E11–19.

Item	*Effect of Cash Dividend (Preferred Stock)*	*Effect of Stock Dividend (Common Stock)*
Total assets	–No effect on declaration date. –Decreased by the amount of the dividend ($7,200**) on payment date.	No effect because no assets are disbursed.
Total liabilities	–Increased on declaration date ($7,200). –Decreased on payment date ($7,200).	No effect—no entry on declaration date because no contractual liability is created (no assets are disbursed; equity reclassification only).
Total stockholders' equity	Decreased by the amount of the dividend on declaration date (retained earnings decreased by $7,200).	–Total stockholders' equity not changed. –Retained earnings reduced and common stock increased by the same amount ($120,000*).

*Because this is a large stock dividend (> 20-25%), the amount transferred from retained earnings to contributed capital is based on the par value of the stock ($120,000 = 30,000 shares x $8 par value x 50%).
**($7,200 = (0.06 x $15 par x 8,000 shares))

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E11–20.

February 20

Retained earnings (-SE) (191.2 million shares x $1.20).....	229,440,000	
Dividends payable (+L).....		229,440,000

Declaration of dividend.

March 1

Dividends payable (-L)	229,440,000	
Cash (-A)		229,440,000

Payment of dividend.

Computation of shares outstanding:

Shares issued	191,200,000
Less: Treasury stock	0
Shares outstanding	191,200,000

E11–21.

October 1

Retained earnings (-SE) (3 billion shares x $2.45).....	7,350,000,000	
Dividends payable (+L)		7,350,000,000

October 15

No journal entry required.

October 20

Dividends payable (-L)	7,350,000,000	
Cash (-A).....		7,350,000,000

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E11–22.

Req. 1

	Stockholders' Equity	
	Before Stock Dividend	*After Stock Dividend*
Common stock, $12 par value; 65,000 shares authorized;		
30,000 shares issued and outstanding (before)	$ 360,000	
48,000 shares issued and outstanding (after)		$ 576,000
Additional paid-in capital	120,000	120,000
Retained earnings	580,000	364,000
Total stockholders' equity	$1,060,000	$1,060,000

Req. 2

Item	***Effects of Stock Dividend***
Total assets	No change because no assets were disbursed.
Total liabilities	No change because no liability was created.
Total stockholders' equity	No change to total stockholders' equity but the following accounts were affected: –Retained earnings was reduced by the amount of the dividend (30,000 shares x 60% x $12 par value = $216,000). –The common stock account was increased by the same amount.

Req. 3

If the company had announced a stock split, no amounts in the stockholders' equity section of the balance sheet would have changed. The company would have simply increased the number of authorized, issued and outstanding shares by a multiple of 3, and it would have reduced the par value proportionally (i.e., dividing by 3). This information would have been disclosed in a footnote to the financial statements.

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E11–23.

Comparative results:

Items	Before Dividend or Split	After Stock Dividend	After Stock Split
Common stock account	$ 600,000	$ 900,000	$ 600,000
Par value per share	$ 1.00	$ 1.00	$0.833333
Shares outstanding	600,000	900,000	720,000
Additional paid-in capital	$ 900,000	$ 900,000	$ 900,000
Retained earnings	$ 700,000	$ 400,000	$ 700,000
Total stockholders' equity	$2,200,000	$2,200,000	$2,200,000

Comments: Neither the stock dividend nor stock split changed total stockholders' equity because neither involved the disbursement of assets. The stock dividend transferred an amount ($300,000) out of retained earnings to the common stock account; it increased the number of shares outstanding but did not change the par value per share. The stock split did not change any account balances; its only effects were to (1) increase the number of shares outstanding and (2) decrease the par value per share. The balance in the common stock account is the same both before (600,000 shares x $1 par) and after (720,000 shares x $0.833333 par) the stock split.

E11–24.

Comparative results:

Items	Before Dividend	After Stock Dividend	After Cash Dividend
Common stock account	$ 640,000	$ 896,000	$ 640,000
Par value per share	$ 8.00	$ 8.00	$ 8.00
Shares outstanding	80,000	112,000	80,000
Additional paid-in capital	$ 280,000	$ 280,000	$ 280,000
Retained earnings	$2,100,000	$1,844,000	$1,940,000
Total stockholders' equity	$3,020,000	$3,020,000	$2,860,000

Comments: The stock dividend does not change total stockholders' equity because it does not involve the disbursement of assets. The stock dividend reduced retained earnings and increased the common stock account by the same amount ($256,000 = $640,000 x 40%); it increased shares outstanding but did not change par value per share. The cash dividend required the disbursement of assets (cash) and a similar reduction of the retained earnings account in the stockholders' equity section of the balance sheet.

Req. 2

The stock dividend will not affect the statement of cash flows. The amount of the cash dividend ($160,000) will be reported as a financing activity cash outflow on the statement of cash flows.

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E11–25.

Req. 1

MATSUMOTO TRAINING ACADEMIES
Statement of Owner's Equity
For the Year Ended Year 1

Tanaka capital, Beginning of the year	$ 0
Add: Investments during the year	500,000
Add: Net income during the year	45,000
Total	545,000
Less: Withdrawals during the year	(30,000)
Tanaka capital, End of the year	$ 515,000

Req. 2

GALAXY ROBOTICS
Statement of Owners' Equity
For the Year Ended Year 1

	Curtis	**Wilson**	**Total**
Capital, Beginning of the year	$ 0	$ 0	$ 0
Add: Investments during the year	300,000	300,000	600,000
Add: Net income during the year	30,000	30,000	60,000
Total	330,000	330,000	660,000
Less: Withdrawals during the year	(15,000)	(25,000)	(40,000)
Capital, End of the year	$ 315,000	$ 305,000	$ 620,000

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PROBLEMS

P11–1.

1. a. Shares authorized (given) 200,000
   b. Shares issued ($2,125,000 ÷ $17)..... 125,000
   c. Shares outstanding (125,000 – 3,000) 122,000

2. Additional paid-in capital: $2,125,000 – (125,000 shares issued x $10 par) = $875,000.

3. Earnings per share: $240,340 ÷ 122,000 shares = $1.97

4. Dividend paid per share: $123,220 ÷ 122,000 shares = $1.01.

5. Treasury stock is listed as a deduction in the stockholders' equity section of the balance sheet (contra-equity account). Amount: 3,000 shares x $20 cost = $60,000.

6. After a 2-for-1 stock split, the par value per share will be cut in half: $10 ÷ 2 = $5. The outstanding shares before the split were 122,000 (see 1(c)). After the split there will be 244,000 shares outstanding (122,000 x 2).

7. Stock splits do not require a journal entry since no amounts on the balance sheet change. Details of the split would be reported in the financial statement footnotes.

8. The stock dividend is considered a small stock dividend (less than 20-25% of outstanding shares) so the market price is used in the journal entry:

Retained earnings (-SE) (125,000 shares x 0.10 x $21).....	262,500	
Common stock (+SE) (125,000 shares x 0.10 x $10).....		125,000
Additional paid-in capital (+SE) (remainder).....		137,500

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P11–2.

Stockholders' Equity	
Common stock (50,000 shares authorized; 43,000 shares issued and outstanding)	$344,000
Preferred stock (21,000 shares authorized; 6,500 shares issued and outstanding)	65,000
Additional paid-in capital, common stock	181,000
Additional paid-in capital, preferred stock	49,000
Retained earnings	96,000
Total stockholders' equity	$735,000

Calculations:

- Common stock: 43,000 shares x $8 par value.
- Preferred stock: 6,500 shares x $10 par value.
- Additional paid-in capital, common stock: [(40,000 shares x $12) + (3,000 shares x $15)] – (43,000 shares x $8 par value).
- Additional paid-in capital, preferred stock: [(5,500 shares x $16) + (1,000 shares x $26)] – (6,500 shares x $10 par value).
- Retained earnings: $0 beginning balance + $96,000 net income - $0 dividends = $96,000 ending balance.

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P11–3.

(a) Cash (+A) (66,000 shares x $9)	594,000	
Common stock (+SE) (66,000 shares x $5)		330,000
Additional paid-in capital, common stock (+SE) (remainder)		264,000
.		
(b) Cash (+A) (9,000 shares x $20)	180,000	
Preferred stock (+SE) (9,000 shares x $10)		90,000
Additional paid-in capital, preferred stock (+SE) (remainder)		90,000
(c) Cash (+A) (1,000 shares x $20) + (2,500 shares x $10)	45,000	
Preferred stock (+SE) (1,000 shares x $10)		10,000
Common stock (+SE) (2,500 shares x $5)		12,500
Additional paid in capital, preferred stock (+SE) (remainder)		10,000
Additional paid-in capital, common stock (+SE) (remainder)		12,500

P11–4.

Req. 1 ($ in millions)

(a) Cash (+A)	598	
Common stock (+SE)		598

Req. 2 ($ in millions)

(a) Cash (+A)	598	
Common stock (+SE) (23 million shares x $2)		46
Additional paid-in capital (+SE) (remainder)		552

Req. 3

Par value no longer has any economic significance. It is mainly a legal obligation required by certain states. An investor would typically not care whether the common stock purchased has a par value or is no-par value stock unless the par value was set at a high dollar value which could affect any distribution to common stockholders in the event of bankruptcy.

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P11–5.

Stockholders' Equity	
Common stock, $1 par value; 200,000 shares authorized; 100,000 shares issued; 85,000 shares outstanding	$ 100,000
Additional paid-in capital	1,115,000
Retained earnings	590,000
Treasury stock (15,000 shares x $15)	(225,000)
Total stockholders' equity	$1,580,000

P11–6.

Req. 1

A stock dividend involves distributing additional shares of a company's stock to existing stockholders. A stock dividend does not affect assets or liabilities; it redistributes amounts within the stockholders' equity accounts. Total stockholders' equity remains unchanged. A cash dividend involves distributing cash to existing stockholders. A cash dividend reduces assets and stockholders' equity (by reducing retained earnings).

Req. 2

Stock dividends are classified as either large or small. A *large* stock dividend involves the distribution of additional shares that are more than 20–25% of the currently outstanding shares. The par value of the shares distributed is reallocated within the stockholders' equity accounts. A *small* stock dividend involves the distribution of additional shares that are less than 20–25% of the outstanding shares. The market value of the shares distributed is transferred from retained earnings to common stock and additional paid-in capital.

Req. 3

Reselling treasury stock does not affect the income statement, regardless of whether it is resold for a price higher or lower than its purchase price. Reselling treasury stock only affects the balance sheet (increase assets and stockholders' equity). Reselling treasury stock does affect the statement of cash flows. The cash received when the shares are resold is reported as a financing activity cash inflow.

Req. 4

A corporation may want to repurchase its stock from existing stockholders for a number of reasons. One common reason is the existence of an employee bonus plan that provides workers with shares of the company's stock as part of their compensation. Because of Securities and Exchange Commission regulations concerning newly issued shares, most companies find it less costly to give employees repurchased shares than to issue new ones. In addition, if a company paid bonuses with newly issued shares each period, it would increase the number of shares in the market, which would decrease the company's stock price. This dilutes an existing stockholder's investment as each share of stock is now worth

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less. By repurchasing shares to fulfill bonus obligations, companies avoid this dilutive effect.

P11–7.
($ in millions)

Req. 1

Treasury stock (+XSE, -SE)	66,897	
Cash (-A)		66,897

Req. 2

Cash (+A)	10	
Treasury stock (-XSE, +SE)		9
Additional paid-in capital (+SE)		1

P11–8.

Req. 1

Case A—Preferred is noncumulative and the total amount to distribute is $31,000:

	Preferred Stock (8,000 shares)	Common Stock (35,000 shares)	Total
Preferred stock ($120,000 x 10%)	$12,000		$12,000
Available to common stock ($31,000 – $12,000)		$19,000	19,000
	$12,000	$19,000	$31,000
Per share	$1.50	$0.54	

Case B—Preferred is cumulative and the total amount to distribute is $36,000:

Preferred stock:			
Arrears ($120,000 x 10% x 2 years)	$24,000		$24,000
Current year ($120,000 x 10%)	12,000	–0–	12,000
	$36,000	–0–	$36,000
Per share	$4.50	$ –0–	

Case C—Preferred is cumulative and the total amount to distribute is $90,000:

Preferred stock:			
Arrears ($120,000 x 10% x 2 years)	$24,000		$24,000
Current year ($120,000 x 10%)	12,000		12,000
Available to common stock ($90,000 – $36,000)		$54,000	54,000
	$36,000	$54,000	$90,000

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Per share	$4.50	$1.54

P11–8. (continued)

Req. 2

Schedule of Comparative Differences		
Item	Amount of Dollar Increase (Decrease)	
	Cash Dividend – Case C	**Stock Dividend**
Total assets	$90,000 decrease in cash	$0, no effect.
Total liabilities	Current liabilities increased $90,000 on declaration date and decreased $90,000 on payment date. The net effect is zero.	$0, no effect.
Total stockholders' equity	$90,000 decrease in retained earnings.	No effect on total stockholders' equity. Decreased retained earnings and increased common stock by same amount: $84,000 (35,000 x 0.30 x $8).

P11–9.

Req. 1

Heather should not be concerned; dividends paid are reported in the financing activities section of the statement of cash flows.

Req. 2

To start, you should note that the statement of cash flows reports both cash inflows and cash outflows, so it is easy for someone to isolate individual accounts to show that a company is spending or receiving cash. To assess a company's overall cash position, one should analyze the cash flow statement as a whole. Google does not currently pay dividends, which is typical of young growing companies (even large ones). There is no "right" time to start paying dividends. The board of directors will monitor Google's investment opportunities and when it feels that dividends are warranted, it will declare and start paying dividends.

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P11–10.

Req. 1

Stockholders' Equity

Common stock, $0.01 par value; 200,000 shares authorized; 54,000 shares issued; 52,000 shares outstanding	$ 540
Additional paid-in capital	456,000
Retained earnings	312,000
Treasury stock	(15,000)
Total stockholders' equity	$753,540

Req. 2

The dividend yield ratio is 4.23% ([$22,000 ÷ 52,000 shares] ÷ $10). This is the return to investors based solely on dividends. Investors receive a return from both dividends and stock price appreciation.

Treasury stock does not receive dividends. As a result, dividends are only paid on the 52,000 shares outstanding.

P11–11.

Comparative results:

Items	**Before any Dividends**	**After Cash Dividend**	**After Stock Dividend**	**After Stock Split**
Common stock account	$60,000 (given)	$60,000	$120,000 ($0.10 x 1.2m)	$60,000
Par value per share	$0.10 (given)	$0.10	$0.10	$0.05 ($0.10 / 2)
Shares outstanding	600,000 ($60,000 / $0.10)	600,000	1,200,000 (600,000 x 2)	1,200,000 (600,000 x 2)
Additional paid-in capital	$1,900,000 (given)	$1,900,000	$1,900,000	$1,900,000
Retained earnings	$800,000 (given)	$788,000 [$800,000 – ($0.02 x 600,000)]	$740,000 [(800,000 – ($0.10 x 600,000)]	$800,000
Total stockholders' equity	$2,760,000	$2,748,000	$2,760,000	$2,760,000
Cash flows from financing activities	$19,000 (given)	$7,000 ($19,000 - $12,000)	$19,000	$19,000

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P11–11. (continued)

Comments (not required): Neither the stock dividend nor stock split changed total stockholders' equity because neither involved the disbursement of assets. The stock dividend transferred an amount ($60,000) out of retained earnings to the common stock account; it increased the number of shares outstanding but did not change the par value per share. The stock split did not change any account balances; its only effects were to (1) increase the number of shares outstanding and (2) decrease the par value per share. The cash dividend is the only dividend that reduces assets (cash) and stockholders' equity. The statement of cash flows is only affected by the cash dividend transaction.

P11–12.

Req. 1

Case A: Sole Proprietorship, closing entries:			
Rise, Capital.....	20,000		
Revenue accounts	144,000		
Expense accounts……			164,000
Rise, Capital.....	9,000		
Rise, Drawings			9,000
Case B: Partnership, closing entries:			
Rise, Capital.....	10,000		
Up, Capital	10,000		
Revenue accounts	144,000		
Expense accounts……			164,000
Rise, Capital.....	5,000		
Up, Capital	7,000		
Rise, Drawings			5,000
Up, Drawings.....			7,000
Case C: Corporation, closing entry:			
Retained earnings.....	20,000		
Revenue accounts	144,000		
Expense accounts……			164,000

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P11–12. (continued)

Req. 2

Case A: Sole Proprietorship

Statement of Equity

Rise, Capital, January 1	$52,000
Less: Net loss	20,000
Total	32,000
Less: Withdrawals	9,000
Rise, Capital, December 31	$23,000

Case B: Partnership

Statement of Equity

	Rise	Up	Total
Partners' equity, January 1	$43,000	$43,000	$86,000
Less: Net loss	10,000	10,000	20,000
Total	33,000	33,000	66,000
Less: Withdrawals	5,000	7,000	12,000
Partners' Equity, December 31	$28,000	$26,000	$54,000

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ALTERNATE PROBLEMS

AP11–1.

1. a. Shares issued ($1,500,000 ÷ $1) 1,500,000
   b. Shares outstanding (1,500,000 – 100,000) 1,400,000

2. Additional paid-in capital: $118,500,000 (All shares were issued for $80. Subtract the $1 par value to get the per share amount in the additional paid-in capital account: $79 x 1,500,000).

3. Earnings per share: $4,800,000 ÷ 1,400,000 shares = $3.43

4. Total dividend paid: $2 per share x 1,400,000 shares = $2,800,000.

5. Treasury stock is listed as a deduction in the stockholders' equity section of the balance sheet (contra-equity account). Amount: 100,000 shares x $60 cost = $6,000,000.

AP11–2.

Stockholders' Equity	
Common stock (60,000 shares authorized; 30,000 shares issued and outstanding)	$240,000
Preferred stock (31,000 shares authorized; 12,000 shares issued and outstanding)	120,000
Additional paid-in capital, common stock	135,000
Additional paid-in capital, preferred stock	92,000
Retained earnings	106,000
Total stockholders' equity	$693,000

Calculations:

- Common stock: 30,000 shares x $8 par value.
- Preferred stock: 12,000 shares x $10 par value.
- Additional paid-in capital, common stock: [(25,000 shares x $12) + (5,000 shares x $15)] – (30,000 shares x $8 par value).
- Additional paid-in capital, preferred stock: [(10,000 shares x $16) + (2,000 shares x $26)] – (12,000 shares x $10 par value).
- Retained earnings: $0 beginning balance + $106,000 net income - $0 dividends = $106,000 ending balance.

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AP11–3.

(a) Cash (+A) (30,000 shares x $40) + (5,000 shares x $26).....	1,330,000	
Common stock, (+SE) (30,000 shares x $40)		1,200,000
Preferred stock (+SE) (5,000 shares x $5).....		25,000
Additional paid-in capital, preferred (+SE)		
[(5,000 shares x $26) – (5,000 shares x $5)]		105,000
Sold common stock at $40 and preferred stock at $26.		
(b) Cash (+A) (2,000 shares x $32).....	64,000	
Preferred stock (+SE) (2,000 shares x $5).....		10,000
Additional paid-in capital, preferred (+SE)		
[(2,000 shares x $32) – (2,000 shares x $5)]		54,000
Sold preferred stock at $32.		
(c) Treasury stock, common (+XSE, -SE) (3,000 shares x $38)	114,000	
Cash (-A).....		114,000
Repurchased common stock at $38.		

AP11–4.

Req. 1 ($ in millions)

(a) Cash (+A).....	1,365	
Common stock (+SE)		1,365

Req. 2 ($ in millions)

(a) Cash (+A).....	1,365	
Common stock (+SE) (21 million shares x $1)		21
Additional paid-in capital (+SE) (remainder)		1,344

Req. 3

Par value no longer has any economic significance. It is mainly a legal obligation required by certain states. An investor would typically not care whether the common stock purchased has a par value or is no-par value stock unless the par value was set at a high dollar value which could affect any distribution to common stockholders in the event of bankruptcy.

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AP11–5.

Stockholders' Equity	
Common stock, $5 par value, 1,000,000 shares authorized; 700,000 shares issued; 675,000 shares outstanding	$ 3,500,000
Additional paid-in capital, common	34,300,000
Retained earnings	429,000
Treasury stock (25,000 shares x $50)	(1,250,000)
Total stockholders' equity	$36,979,000

AP11–6.

Req. 1

A stock dividend involves distributing additional shares of a company's stock to existing stockholders. A stock dividend does not affect assets or liabilities; it redistributes amounts within the stockholders' equity accounts. Total stockholders' equity remains unchanged. A cash dividend involves distributing cash to existing stockholders. A cash dividend reduces assets and stockholders' equity (by reducing retained earnings).

Req. 2

Stock dividends are classified as either large or small. A *large* stock dividend involves the distribution of additional shares that are more than 20–25% of the currently outstanding shares. The par value of the shares distributed is reallocated within the stockholders' equity accounts. A *small* stock dividend involves the distribution of additional shares that are less than 20–25% of the outstanding shares. The market value of the shares distributed is transferred from retained earnings to common stock and additional paid-in capital.

Req. 3

Reselling treasury stock does not affect the income statement, regardless of whether it is resold for a price higher or lower than its purchase price. Reselling treasury stock only affects the balance sheet (increase assets and stockholders' equity). Reselling treasury stock does affect the statement of cash flows. The cash received when the shares are resold is reported as a financing activity cash inflow.

Req. 4

Corporations often repurchase their own stock from the market to support an employee bonus plan that provides workers with shares of the company's stock as part of their compensation. Because of Securities and Exchange Commission regulations concerning newly issued shares, most companies find it less costly to give employees repurchased shares than to issue new ones. In addition, if a company paid bonuses with newly issued shares each period, it would increase the number of shares in the market, which would decrease the company's stock price. This dilutes an existing stockholder's investment as each share of stock is now

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worth less. By repurchasing shares to fulfill bonus obligations, companies avoid this dilutive effect.

AP11–7.
($ in millions)

Req. 1

Treasury stock (+XSE, -SE)	22,860	
Cash (-A)		22,860

Req. 2

Cash (+A)	9	
Treasury stock (-XSE, +SE)		8
Additional paid-in capital (+SE)		1

AP11–8.

Req. 1

Case A—Preferred is noncumulative and the total amount to distribute is $25,000:

	Preferred Stock (21,000 shares)	Common Stock (500,000 shares)	Total
Preferred stock ($210,000 x 8%)	$16,800		$16,800
Available to common stock ($25,000 – $16,800)		$8,200	8,200
	$16,800	$8,200	$25,000
Per share	$0.80	$0.0164	

Case B—Preferred is cumulative and the total amount to distribute is $25,000:

Preferred stock:			
Arrears ($210,000 x 8% x 2 years = $33,600)	$25,000		$25,000
Current year ($210,000 x 8%)			
	$25,000	$ –0–	$25,000
Per share	$1.19	$ –0–	

Case C—Preferred is cumulative and the total amount to distribute is $75,000:

Preferred stock:			
Arrears ($210,000 x 8% x 2 years)	$33,600		$33,600
Current year ($210,000 x 8%)	16,800		16,800
Available to common ($75,000 – $33,600 - $16,800)		$24,600	24,600
	$50,400	$24,600	$75,000
Per share	$2.40	$0.0492	

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Req. 2

Schedule of Comparative Differences		
Item	Amount of Dollar Increase (Decrease)	
	Cash Dividend – Case C	**Stock Dividend**
Total assets	$75,000 decrease in cash	$0, no effect.
Total liabilities	Current liabilities increased $75,000 on declaration date and decreased $75,000 on payment date. The net effect is zero.	$0, no effect.
Total stockholders' equity	$75,000 decrease in retained earnings.	No effect on total stockholders' equity. Decreased retained earnings and increased common stock by same amount: $200,000 (500,000 x 0.40 x $1).

AP11–9.

Req. 1

Mika should not be concerned; dividends paid are reported in the financing activities section of the statement of cash flows.

Req. 2

To start, you should note that the statement of cash flows reports both cash inflows and cash outflows, so it is easy for someone to isolate individual accounts to show that a company is spending or receiving cash. To assess a company's overall cash position, one should analyze the cash flow statement as a whole. Pinterest does not currently pay dividends, which is typical of relatively young growing companies (even large ones). There is no "right" time to start paying dividends. The board of directors will monitor Pinterest's investment opportunities and when it feels that dividends are warranted, it will declare and start paying dividends.

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AP11–10.

Req. 1

Stockholders' Equity

Common stock, $0.05 par value; 400,000 shares authorized; 108,000 shares issued; 106,000 shares outstanding	$ 5,400
Additional paid-in capital	756,000
Retained earnings	215,000
Treasury stock	(16,000)
Total stockholders' equity	$960,400

Req. 2

The dividend yield ratio is 4.25% ([$36,000 ÷ 106,000 shares] ÷ $8). This is the return to investors based solely on dividends. Investors receive a return from both dividends and stock price appreciation.

Treasury stock does not receive dividends. As a result, dividends are only paid on the 106,000 shares outstanding.

AP11–11.

Comparative results:

Items	**Before any Dividends**	**After Cash Dividend**	**After Stock Dividend**	**After Stock Split**
Common stock account	$120,000 (given)	$120,000	$240,000 ($0.20 x 1.2m)	$120,000
Par value per share	$0.20 (given)	$0.20	$0.20	$0.10 ($0.20 / 2)
Shares outstanding	600,000 ($120,000 / $0.20)	600,000	1,200,000 (600,000 x 2)	1,200,000 (600,000 x 2)
Additional paid-in capital	$820,000 (given)	$820,000	$820,000	$820,000
Retained earnings	$680,000 (given)	$656,000 [$680,000 – ($0.04 x 600,000)]	$560,000 [(680,000 – ($0.20 x 600,000)]	$680,000
Total stockholders' equity	$1,620,000	$1,596,000	$1,620,000	$1,620,000
Cash flows from financing activities	$33,000 (given)	$9,000 ($33,000 - $24,000)	$33,000	$33,000

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AP11–11. (continued)

Comments (not required): Neither the stock dividend nor stock split changed total stockholders' equity because neither involved the disbursement of assets. The stock dividend transferred an amount ($120,000) out of retained earnings to the common stock account; it increased the number of shares outstanding but did not change the par value per share. The stock split did not change any account balances; its only effects were to (1) increase the number of shares outstanding and (2) decrease the par value per share. The cash dividend is the only dividend that reduces assets (cash) and stockholders' equity. The statement of cash flows is only affected by the cash dividend transaction.

AP11–12.

Req. 1

Case A: Sole Proprietorship, closing entries:			
Snow, Capital	40,000		
Revenue accounts	288,000		
Expense accounts			328,000
Snow, Capital	18,000		
Snow, Drawings			18,000
Case B: Partnership, closing entries:			
Snow, Capital	20,000		
Rain, Capital	20,000		
Revenue accounts	288,000		
Expense accounts			328,000
Snow, Capital	10,000		
Rain, Capital	14,000		
Snow, Drawings			10,000
Rain, Drawings			14,000
Case C: Corporation, closing entry:			
Retained earnings	40,000		
Revenue accounts	288,000		
Expense accounts			328,000

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AP11–12. (continued)

Req. 2

Case A: Sole Proprietorship

Statement of Equity

Snow, Capital, January 1	$104,000
Less: Net loss	40,000
Total	64,000
Less: Withdrawals	18,000
Snow, Capital, December 31	$ 46,000

Case B: Partnership

Statement of Equity

	Snow	Rain	Total
Partners' equity, January 1	$86,000	$86,000	$172,000
Less: Net loss	20,000	20,000	40,000
Total	66,000	66,000	132,000
Less: Withdrawals	10,000	14,000	24,000
Partners' Equity, December 31	$56,000	$52,000	$108,000

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CONTINUING PROBLEM

CON11–1

Req. 1

Treasury Stock (+XSE, -SE))	306,400,000	
Cash (-A)		306,400,000

Req. 2

February 28

Retained earnings (-SE).....	41,800,000	
Dividends payable (+L).....		41,800,000

March 14

No entry

March 28

Dividends payable (-L)	41,800,000	
Cash (-A)		41,800,000

Computation of dividend:

38 million shares (outstanding) x $1.10 = $41,800,000

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COMPREHENSIVE PROBLEM (Chapters 9-11)

Case A

Req. 1

Preferred stock dividend --- $2,160 = 3,000 shares outstanding x $8 x 9%
Common stock dividend---$7,840 = $10,000 - $2,160

Req. 2

35,000 shares outstanding (40,000 shares issued – 5,000 shares being held as treasury stock)

Req. 3

Cash (+A).....	25,000	
Treasury stock (-XSE, +SE).....		20,000
Additional paid-in capital (+SE)		5,000

Req. 4

A journal entry is not required to record a stock split so there is no effect on the balance sheet equation. Instead, the par value of the stock is adjusted. After a 2-for-1 stock split, the par value for Tazlina's stock would be $5 per share ($10 ÷ 2), and the number of shares would double.

Case B

Working Capital
1. Remain the same
2. Decrease
3. Remain the same
4. Remain the same

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COMPREHENSIVE PROBLEM (continued)

Case C

Req. 1

$1,000,000 x 0.61391	$ 613,910
$50,000 x 7.72173	386,087
Issue price	$ 999,997*

*$3 rounding error due to the present value factors in the tables only including five decimal places. Using Excel or a financial calculator results in a present value of $1,000,000.

Req. 2

$1,000,000 x 0.67556	$ 675,560
$50,000 x 8.11090	405,545
Issue price	$1,081,105*

*Using Excel or a financial calculator results in a present value of $1,081,109.

Req. 3

$1,000,000 x 0.55839	$ 558,390
$50,000 x 7.36009	368,005
Issue price	$ 926,395*

*Using Excel or a financial calculator results in a present value of $926,399.

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COMPREHENSIVE PROBLEM (continued)

Case D
Req. 1

Computations:

Interest (semiannual):
$1,000,000 x 10% x 1/2 = $ 50,000

Present value:

$1,000,000 x 0.45639	=	$ 456,390
$ 50,000 x 13.59033	=	679,517
Issue price	=	$1,135,907*

*Using Excel or a financial calculator results in a present value of $1,135,903.

Using a Premium Account

Cash (+A)	1,135,907	
Premium on bonds payable (+L)		135,907
Bonds payable (+L)		1,000,000

Without Using a Premium Account

Cash (+A)	1,135,907	
Bonds payable (+L)		1,135,907

Req. 2

Cash (+A) (45,000 shares x $25)	1,125,000	
Common stock (+SE) (45,000 shares x $1)		45,000
Additional paid-in capital, common stock (+SE)		1,080,000

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CASES AND PROJECTS
ANNUAL REPORT CASES

CP11–1. (Dollar amounts in millions)

1. B (Statement of Cash Flows, Financing activities section)

2. A (Common stock account on the Statement of Financial Position or stock par value column on Statement of Shareholders' Investment)

3. C (Common stock note at bottom of Statement of Financial Position or common stock shares column on Statement of Shareholders' Investment)

4. A (Total shareholders' investment on Statement of Financial Position or total column on Statement of Shareholders' Investment)

5. C (note below the Statement of Shareholders' Investment)

CP11–2. (Dollar amounts in millions)

1. $2,779 (Statement of Cash Flows, Financing activities section)
2. $805 (Common stock account on Balance Sheet or common stock amount column on Statement of Shareholders' Equity)
3. 8,054 (From common stock shares column on Statement of Shareholders' Equity)
4. $90,349 (From total equity account on Balance Sheet and total equity column on Statement of Shareholders' Equity)
5. $0.76 (From bottom of Income Statement).

CP11–3.

1. Target: $8.96
   Walmart: $1.92
   Both amounts from the Income Statements
2. Repurchasing shares would increase the basic earnings per share ratios for Target and Walmart
3. Target: $4.38
   Walmart: $0.76
   Target value from Statements of Shareholders' Investment. Walmart value from the bottom of the Income Statement.
4. Target: 3.03% (Dividends per share $4.38 / Market price per share $144.42)
   NOTE: 3.07% is also an acceptable answer ($2,050 total dividends declared / 461.7 m shares = $4.44 / $144.42 = 3.07%)
   Walmart: 1.38% (Dividends per share $0.76 / Market price per share $54.90)
5. Target paid a higher percentage

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FINANCIAL REPORTING AND ANALYSIS CASE

CP11–4.

15.6 billion shares outstanding x $0.94 per share = $14.664 billion

Approximate cash paid to stockholders is $14.664 billion.

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CRITICAL THINKING CASES

CP11–5.

It is true that a stock dividend will not require the company to pay stockholders any cash, but if that is why current stockholders are holding the stock, they will not be happy. As a result, announcing a stock dividend rather than a cash dividend will likely be treated as negative news.

CP11–6.

We do not have an easy answer to this question. We use this case to discuss corporate governance and responsibilities to employees as well as stockholders (owners).

YOU AS ANALYST: ONLINE COMPANY RESEARCH (an individual or team project)

CP11–7.

The solution to this project will depend on the company(ies) and/or accounting period selected for analysis.

BUSINESS ANALYTICS AND DATA VISUALIZATION IN EXCEL AND TABLEAU

The solutions to these exercises are auto graded on Connect, as assigned by the instructor.

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